



Examination Report

Accounting

6896

EGCSE

2025

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General comments

The paper consisted of five questions, of which the first question was ten multiple choice questions and the other four questions were structured.

Candidates were required to answer all the questions.

The general set up of the paper was consistent with that of the previous years where candidates were required to display knowledge and understanding of the subject, application, evaluation and decision-making skills.

The overall performance of the candidates was better than that of the previous year. However, some centres did not perform very well.

Candidates lost marks on basic accounting skills such as:

- Failing to properly present departmental accounts in columnar form.
- Failing to explain simple entries in a trade receivables' account.
- Failing to prepare a simple trial balance from given balances.

There was, however, an improvement in the writing dates. Most candidates wrote the dates correctly.

Most candidates failed to spell the basic term 'paid' correctly. This term is most spelled wrongly as 'payed'.

Teachers are encouraged to train the learners on the usage of time. The learners should be given work under timed conditions as some candidates are having unanswered questions which could be due to time management.

Comment on specific questions

Question 1

This question was generally well answered by most candidates. However, candidates displayed little knowledge of identifying a group of intangible assets (e), calculating correctly the bank balance from given transaction (a), identifying the task performed by an accountant (h).

There are learners who are still not following instructions when answering multiple choice questions. Learners are required to write the letters in the boxes to indicate the correct answer but some candidates circle the letter in the question. This is incorrect.

The correct options for question 1 were as follows:

- | | | |
|-------|-------|-------|
| (a) B | (b) C | (c) B |
| (d) D | (e) B | (f) A |
| (g) C | (h) A | (i) A |
| (j) D | | |

Question 2

This question was generally well answered by most candidates.

(a) Some of the explanations in Mayime's account were incomplete. Most candidates explained correctly that on 1 July 2025 Mayime owed Msona but missed the crucial point that the amount owed is from the previous month. Some candidates stated that the balance was from the previous year.

1 July 2025 amount Mayime owed Msona from the previous month.

In other explanations, the candidates mentioned only one of the two people involved in the transaction, the trade payable (Msona) or the trade receivable (Msona). e.g. Mayime bought goods or Mayime returned goods. This is incomplete.

6 July 2025 goods sold on credit by Msona to Mayime

8 July 2025 goods returned by Mayime to Msona

(b) (i) In this question, the candidates were asked to state the double entry of the entries in Mayime's account. When stating the double entry, the candidates were supposed to state whether the account was supposed to be debited or credited. Most candidates only stated the accounts not showing the action of debit or credit. Candidates were also expected to show that they understand that Mayime is a trade receivable and returns inwards were shown on the credit side of the account and the discount was discount allowed.

<i>Entry in Mayime's account</i>	<i>Double entry</i>
<i>8 July</i>	<i>Debit returns inwards account</i>
<i>31 July</i>	<i>Debit bank account</i>
<i>31 July</i>	<i>Debit discount allowed account</i>

(ii) A majority of candidates did well in this question but some of the explanations of the duality principle was incomplete. Incomplete explanations like "there is an account debited and account credited" instead of explaining the principle in full.

Every transaction has two aspects – the giving aspect and the receiving aspect.

- (c) Most candidates failed to answer this question properly. They failed to understand that they were supposed to prepare Msona's account in the books of Mayime. They ended up copying Mayime's account as it was. Those learners who tried to prepare Msona's account in Mayime's books did not record the returns and discount properly. Candidates were expected to display their understanding of preparing a trade payable account by writing returns outwards and discount received.
- (d) This question was fairly done by most candidates though some candidates failed to apply the double entry principle from a given transaction. Most candidates lost marks when they debited the drawings account and credited the inventory account when inventory is taken for personal use. It is incorrect to credit the inventory account. The correct account to be credited is the purchases account.

<i>Transaction date</i>	<i>Account to be debited</i>	<i>Account to be credited</i>
<i>July 1</i>	<i>Motor expenses</i>	<i>BS Motors</i>
<i>July 7</i>	<i>Smephi</i>	<i>Interest received</i>
<i>July 16</i>	<i>Drawings</i>	<i>Purchases</i>

Question 3

- (a) This question was generally well done by most candidates although some candidates prepared an income statement. Others prepared ledger accounts. Candidates were required to prepare a simple trial balance from a given list of ledger balances. It was noted that some candidates started by recording all the items to be recorded on the debit column and then recorded the items to be recorded on the credit side. There is nothing wrong with this approach but a waste of time. This is how the candidates were presenting their trial balance.

Mcabango			
Trial balance at 30 September 2025			
	E		E
Purchases	45 750		
General expenses	8 750		
Trade receivables	5 315		
Rent payable	3 600		
Interest on loan	500		
Cash at bank	12 900		
Wages and salaries	12 000		
Fixtures and fittings at cost	20 000		
Carriage inwards	1 740		
Carriage outwards	1 000		
Revenue		60 500	
Trade payables		4 330	
Capital		36 725	
Bank loan		10 000	
	<u>111 555</u>		<u>111 555</u>

It is not necessary to arrange the items like this when preparing a trial. It is rather a waste of time. In some cases, the learners would indent the items to be recorded on the credit column. Learners are encouraged to record the items in the order they are given in the question.

(b) In this question learners were required to indicate by placing a tick how each of the given items would be recorded in Mcabango's financial statements. This was generally well done by most candidates, but some candidates were placing crosses instead of the tick. This is incorrect. Learners must be trained to follow instructions. A few candidates treated rent payable as either an asset or liability.

Items	Income statement		Statement of financial position	
	Trading account section	Profit and loss account section	Assets	Liabilities
Bank loan				√
Carriage inwards	√			
Rent payable		√		
Trade receivables			√	

(c) In this question the candidates were required to complete Mcabango's inventory card using the average cost (AVCO) method. This was general well done by most candidates. The candidates were able to calculate the average cost. It was also noted that candidates displayed their good understanding of showing the goods sold at cost price. There are learners who lost marks because they failed to round off the final balance correct to two decimal places. The final balance was supposed to be E3123.20 but some learners had shown the final balance as E3123.2. This is not correct.

(d) This question was fairly done although some candidates were placing crosses instead of a tick. This is incorrect. Learners must be trained to follow instructions

(e) In this question learners were supposed to name and explain two other methods Mcabango could have used to value his inventory.

Learners lost marks in this simple question because they did not respect the set-up of the question, that is, to name and explain. Although this question was fairly done by most candidates, some lost marks. Teachers are encouraged to emphasise to the learners to answer questions as they are asked.

First In First Out (FIFO) – this method assumes that the first items to be received are first to be issued.

Last In First Out (LIFO) – as each issue is made, they are assumed to be from the last batch received before that date.

Question 4

(a) (i) This question was poorly done by most centres. It looked like candidates missed the instruction by not following the example. Most candidates showed the effects instead of the balances after the effects. They were then unable to calculate the working capital in (ii). Only a few candidates were able to show the calculation of the working capital correctly.

<i>Date</i>	<i>Assets</i>	<i>Liabilities</i>	<i>Capital</i>
<i>Jul 9</i>	<i>Bank</i> 25 000 <i>Furniture</i> 5 000 <i>Inventory</i> 2 000 <i>Cash</i> 700	<i>Trade payables</i> 2 500	<i>Capital</i> 30 200
<i>Jul 10</i>	<i>Bank</i> 24 000 <i>Furniture</i> 5 000 <i>Inventory</i> 2 000 <i>Cash</i> 700	<i>Trade payables</i> 1 500	<i>Capital</i> 30 200
<i>Jul 15</i>	<i>Bank</i> 23 400 <i>Furniture</i> 5 000 <i>Inventory</i> 2 000 <i>Cash</i> 700	<i>Trade payables</i> 1 500	<i>Capital</i> 29 600

$$\begin{aligned}
 \text{Working capital} &= \text{Current assets - current liabilities} \\
 &= (23\,400 + 2\,000 + 700) - (1\,500) \\
 &= 26\,100 - 1\,500 \\
 &= 24\,600
 \end{aligned}$$

(b) This question was fairly done by most candidates although some learners were unable to match their comparisons. It automatically becomes incorrect when a learner fails to match comparisons correctly.

Examples of incorrect comparisons

Non-current assets last for a long time in the business while current assets fluctuate.

Non-current assets are obtained for use while current assets can be turned into cash quickly

Non-current liabilities are used to finance capital projects while current liabilities are amounts constantly changing

Most learners were, however, able to give examples.

Non-current assets

Long-term assets

Obtained for use/help generate revenue

Amounts are not constantly changing

Not easily turned into cash

Non-current liabilities

Long-term liabilities

Amounts owed by a business which are not due for payment with a year

Used to finance capital projects

***Amounts not constantly changing
Changing***

Current assets

Short term assets

Arise from normal trading activities

Amounts are constantly changing

can be turned into cash quickly

Current liabilities

Short-term liabilities

Amounts owed by a business which are due for payment within a year

Arise from normal trading activities

Amounts are constantly

(c) This question was poorly done by most centres. Candidates were unable to display their knowledge of understanding of what is meant by capital employed and capital owned.

Most candidates explained capital owned as the money used to start a business and capital employed as money used in the business.

Capital employed – the total funds being used by a business

Capital owned – the amount owed by the business to the owner(s) of the business on a certain date

Question 5

This question was generally fairly done by most candidates.

(a) (i) The departmental income statement was generally well done by most candidates. Candidates were able to present the accounting details in two columns for each department. However, there are centres where learners would only present the accounting details in two columns for the two departments. These learners lost marks. In some cases, the adjustments were not treated, before the apportionment as a result the learners lost a lot of marks.

In some cases, the learners combined the details of the departments and presented one income statement for the two departments. This is also incorrect.

LPK Ltd		
Departmental Income Statement for the year ended 31 August 2025		
	Department A	Department B
	E	E
Revenue	120 000	100 000
Less cost of sales		
Opening inventory	10 250	8 650
Purchases	85 000	78 000
	95 250	86 650
Less closing inventory	16 700	11 300
	78 550	75 350
Gross profit	41 450	24 650
Less expenses		
Wages	9 000	7 500
Telephone expenses	600	500
Rent	3 150	2 080
Motor expenses	900	750
Depreciation of: Motor vehicle	10 200	8 500
Fixtures and fittings	840	560
	24 660	19 890
Profit for the year	16 790	4 760

(ii) This question was generally well answered by most candidates though some candidates were referring to the business instead of departments e.g. It would be easy to determine the profit of the business. This is incorrect.

Expected responses were:

Identifies profit or loss of each department

Enables trading results to be analysed

Poor performance of a department can be identified and investigated

Enables overall profitability to be increased

More meaningful than a single set of results

Influences decision of closing or expanding a department

(b) In this question candidates were required to explain the problems LPK Ltd may encounter when comparing the company's performance with that of Vovo.

Most candidates were explaining the advantages and disadvantages of a sole trader and a company. They did not answer the question at all.

Some of the candidates tried to compare but failed to match their comparison like it was explained in question 4 (b). It was incorrect to say LPK Ltd is company while Vovo is a supermarket selling grocery items.

Expected responses were:

Different type – LPK Ltd is a company, Vovo is a sole trader

Different trade – LPK Ltd sells sportswear and clothing, Vovo sells groceries

Different operating policies – LPK Ltd sells on cash and credit terms, Vovo sells on cash terms only

Different accounting policies – LPK Ltd and Vovo may be using different methods of valuing inventory and methods of depreciation

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General comments

This paper consisted of five compulsory structured questions. The general performance of the 2025 cohort was average. Most candidates were able to score marks in almost all the questions.

Questions 1 and 2 proved to be accessible to most candidates, however, questions 3, 4 and 5 seemed difficult for the majority. Candidates lost marks on basic accounting skills such as:

- Poor writing of dates in ledger accounts
- Abbreviation of terms, such as “bal c/d” for balance c/d
- Incorrect display of the statement of affairs format

Some candidates did not attempt answering some of the questions such as question 4 part (b) which required a statement of changes in equity and part (c) which required a statement of financial position extract. Some candidates also did not attempt to answer question 5.

Comments on specific questions

Question 1

Generally, most candidates answered this question well, with a majority being able to score high marks.

(a) Record the information in Zitsile’s sales journal and returns inward journal. Total the journals at 30 June 2025.

Most candidates were able to score marks in this question. A majority of candidates obtained a score of five out of seven marks because of the incorrect narration in the total, which excluded VAT. Examples of such narrations were: transfer to the sales account, total sales, total returns inwards, credit sales account, debit returns inwards account, instead of the narration ‘total for the month or ‘transfer to the ledger’. Some wrote the source document as a narrative instead of writing the name of the trade receivable.

Some candidates confused the gross amount and the net amount, and so they used the wrong column for these amounts. Some candidates from some centres recorded returns inwards in the sales journal and vice versa. Some candidates forgot to include the dates for the totals at the end of the month, while others wrote an incorrect date, using June 31 instead of June 30. There were some candidates who omitted dates for the whole question thus scoring zero.

The expected response was

Sales Journal

	Net Amount	VAT	Gross Amount
2025	E	E	E
June 10 Winile	1 200	180	1 380
22 Yenzile	2 500	375	2 875
27 Winile	<u>5 000</u>	<u>750</u>	<u>5 750</u>
30 Total for the month	<u>8 700</u>	<u>1 305</u>	<u>10 005</u>

Returns Inward Journal

	Net Amount	VAT	Gross Amount
2025	E	E	E
June 17 Winile	200	30	230
28 Yenzile	<u>300</u>	<u>45</u>	<u>345</u>
30 Total for the month	<u>500</u>	<u>75</u>	<u>575</u>

(b) Post entries from the sales journal and returns inward journal to the following ledger accounts. Balance the personal accounts and bring down the balances on 1 July 2025.

Some candidates in this question were not able to obtain maximum marks. They used June 30 for the dates in all entries in the personal accounts instead of the date of the specific transaction. Other candidates were recording correct entries but reversed them in the different accounts while others were treating the personal accounts as supplier's accounts instead of credit customer's accounts. Other candidates posted the net figures instead of the gross amounts in the sales ledger.

The ledger accounts were not appropriately narrated by most candidates. Candidates were giving the wrong narrative like source documents, the name of the trade receivable, purchases, purchases returns and balance or even narrating with the subsidiary book in the sales ledger. Others narrated as sales in the sales account with others narrating returns inward in the returns inward account, which is incorrect as the narration tells us the account in which the corresponding entry should be found.

Similarly, some candidates posted the sales and returns inward accounts inclusive of VAT instead of posting the net amount totals. Other candidates would use abbreviations such as bal b/d for balance b/d. Some candidates balanced all the ledger accounts instead of balancing only the personal accounts as per the requirement of the question.

The expected response was

Winile account			
2025	E	2025	E
June 10 Sales	1380	June 17 Returns inwards	230
27 Sales	<u>5750</u>	30 Balance	c/d <u>6900</u>
	<u>7130</u>		<u>7130</u>
July 1 Balance	b/d 6900		

Yenzile account			
2025	E	2025	E
June 22 Sales	2875	June 17 Returns inwards	345
	<u>2875</u>	30 Balance	c/d <u>2530</u>
July 1 Balance	b/d 2530		<u>2875</u>

Sales account			
2025	E	2025	E
		June 30 Trade receivables	8700

Returns Inward account			
2025	E	2025	E
June 30 Trade receivables	500		

VAT account			
2025	E	2025	E
June 30 Returns inward journal	75	June 30 Sales journal	1305

(c)(i) Name the division of the ledger in which the following accounts would appear in Zitsile's books.

Most candidates did well in this question. Candidates that did not score all the marks in this question, they stated that the returns inwards account is grouped in a returns inwards ledger. It should be noted that there is no such thing, all impersonal accounts are posted to the general/nominal ledger. Other candidates added the word account on the ledger division which made the response to be incorrect. A few candidates were writing debit and credit or just giving subsidiary books as the answer.

(ii) Give two advantages of dividing the ledger into sections.

This question was fairly attempted by most candidates. However, some candidates lost marks for writing responses such as to group the same type of transactions together instead of to group same type of accounts together, to correct errors instead of locating errors, and to locate fraud instead of to reduce the possibility of fraud. It should be noted that the use of some words changes the meaning of the responses.

Another common incorrect response was that dividing the ledger into sections provides useful information to prepare control accounts. It should be noted that information for preparing control accounts is taken from subsidiary books and not the ledger. Some candidates were writing advantages of preparing control accounts, while others wrote advantages of subsidiary books.

The expected responses were

More convenient to use/ easy to access information/ group similar accounts together

Work can be divided between several people

Enables checking procedures to be used/ easy to locate errors

May reduce the possibility of fraud

Makes the ledger more organised

Makes it easier to prepare a trial balance

(d) State two differences between a cash discount and a trade discount.

This question was well answered by a majority of the candidates. However, some candidates reversed their responses, for example, stating that a cash discount is for bulk buying while a trade discount is for prompt payment. Other candidates however stated that cash discount is for cash payments while trade discount is for credit sales, mistaking the discounts for a cash transaction and a credit transaction.

Correct presentation of differences was a challenge for some candidates as they compared aspects that were not similar, like the purpose for which a cash discount is given being compared with that a trade discount is not recorded in the books of accounts, which is incorrect.

Question 2

Generally, this question was accessible to most candidates.

(a) State four disadvantages of operating a business as a sole trader.

This question was well answered by a majority of the candidates. However, some candidates gave points which had the same idea. For example, they would state that there is no one to share decision-making with and also state lack of consultation whereas they both have the same meaning. Some candidates used words such as partners or shareholders which do not apply in a sole trader context. Other candidates misread the question, gave advantages instead of disadvantages thus lost marks.

(b)(i) Calculate Mavi's rate of inventory turnover for the year ended 30 September 2025.

Give your answer correct to two decimal places.

A majority of candidates failed to arrive at the correct answer in this part question. Candidates struggled to calculate the cost of sales. Others assumed the question required the calculation of average inventory and gave the average inventory as a final answer. Other candidates used sales in the calculation instead of the cost of sales. Some candidates divided the average inventory by the cost of sales instead of dividing the cost of sales by the average inventory.

Some candidates gave incomplete responses or incorrect responses because they forgot the unit for the rate of inventory turnover, as they gave their answer in percentage, emalangen, or just left the figure without the unit instead of expressing the answer in times, thus losing the mark. Other candidates could not give the correct response to two decimal places or just rounded down instead of rounding up.

The expected response was

Cost of sales = E9 450 + E60 000 – E10 660 = E58 790

Average inventory = (E9 450 + E10 660) /2 =E10 055

Rate of inventory turnover = $\frac{\text{E58 790}}{\text{E10 055}} = 5.85 \text{ times}$

(ii) Comment on Mavi's rate of inventory turnover for the year ended 30 September 2025.

It was difficult for a majority of candidates to comment as they were not even able to calculate the rate of inventory turnover. Some candidates misinterpreted the ratio, stating that the inventory turnover shows whether the business is making profit or loss, which was incorrect. A few candidates were able to comment that the rate of inventory turnover is low, although they attributed that to the fact that the business was selling expensive goods. This was not the case because the reference business was a supermarket.

The expected response was

The rate of inventory turnover is very low

Mavi replaces inventory 5.85 times a year

The rate of turnover is much lower than the norm for a supermarket

Supermarkets sell low costs everyday items, so they should have a high rate of turnover

(c)(i) Complete the table by placing a tick to indicate the effect of a decrease in the rate of inventory turnover on the gross profit and profit for the year.

Well, attempted by most candidates although some did not attempt this part question. Other candidates were not sure about the effect thus placed the tick on two columns or on all of them. Others indicated an increase or no effect on gross profit and profit for the year instead of a decrease for both gross profit and profit for the year.

(ii) Suggest four possible causes of the decline in Mavi's rate of inventory turnover.

Most candidates failed to provide satisfactory responses, with some not demonstrating an understanding of the rate of inventory turnover. Some candidates gave incomplete responses, like increasing prices, leaving out the keyword 'selling' prices. Candidates needed to be specific whether they were referring to buying prices or selling prices. Most candidates stated factors that affect the gross margin. Other candidates stated factors influencing demand, such as competition, and prices of substitutes, which earned them no mark.

Question 3

Generally, this question proved to be challenging for the majority of candidates, with some failing to prepare the journal entries correctly and others failing to write the correct dates.

(a) State the differences between irrecoverable debts and a provision for doubtful debts.

Some candidates referred to irrecoverable debts as debts that cannot be paid by trade receivables, which was incorrect. Some used the word irrecoverable in their definitions. It should be noted that when candidates are required to define a term, they are not allowed to use the same word in their definition.

Others referred to provision for doubtful debts as 'money set aside to cater for customers failing to pay'. Some candidates were explaining irrecoverable debts recovered as a provision for doubtful debts. Others left out key words in the definitions, such as amount and credit customer when defining irrecoverable debts, while others left out the key words estimate and irrecoverable debts when defining a provision for doubtful debts, which are key words for the definitions to be complete.

(b)(i) Prepare journal entries in the books of Lizwe to record:

1 The transaction on 30 June 2025.

2 The two transactions on 31 July 2025.

Some candidates were able to journalise entries, however, the June 30 transaction appeared to confuse most candidates. They failed to calculate the amount paid (E560) and the irrecoverable debt (E2240). Some candidates also did not pay attention to the dates, they used June 30 for the July 31 journal entries or just used June 31 for them, while some candidates omitted the dates altogether, thus losing valuable marks.

Some candidates could not follow the correct procedure for preparing journal entries, instead they prepared a trial balance with totals at the end, thus losing marks. Some candidates assumed that the journal entries were for correcting errors; they involved the suspense account which was incorrect.

The expected response was

Lizwe
General Journal

		Debit	Credit
		E	E
2025 June 30	Bank /cash Irrecoverable debts Temvelo	560 2240	2800
July 31	Irrecoverable debts Masive	900	900
July 31	Bank Mlandvo	3800	3800

(ii) Calculate the irrecoverable debts amount to be recorded in the income statement on 31 July 2025. Show your working.

Few candidates were able to give accurate responses with a majority just adding E900 and E2800 to get E3700, they failed to understand that not all the amount owed by Temvelo was written off as irrecoverable. Some candidates calculated the value of trade receivables in this question instead of irrecoverable debts.

The correct response was

$$E2240 + E900 = E3140$$

(c)(i) Calculate Lizwe's trade receivables at 31 July 2025. Show your working.

Most candidates did not attempt answering this part question. Some of those who answered the question used the wrong adjustment, deducting E2800 which was the amount owed by Temvelo at 30 June 2025. Some candidates subtracted E900 only while some subtracted E3800 only. Other candidates did not calculate the value of trade receivables after writing off irrecoverable debts.

The expected response was

$$E35\ 700 - (E900 + E3800) = E31\ 000$$

(ii) Prepare Lizwe's provision for doubtful debts account for the year ended 31 July 2025. Balance the account and bring down the balance on 1 August 2025.

Most candidates could not calculate the opening balance in the provision for doubtful debts account. Some candidates could not make the proper adjustments for the end of the year provision for doubtful debts. Many omitted dates in the ledger accounts or wrote wrong dates, they failed to recognise that the financial year fell on two calendar years 2024 and 2025. For some, the narrations were wrong, narrating provision for doubtful debts in the provision for doubtful debts account. Some candidates prepared a provision for doubtful debts account for a number of periods instead of just one financial year.

The correct response was

Provision for Doubtful Debts account					
2025	E	2024		E	
July 31 Income statement		20 Aug 1 Balance		b/d	640
31 Balance	c/d	620			
	<u>640</u>			<u>640</u>	
		2025			
		Aug 1 Balance	b/d	620	

(iii) State the amount of the provision for doubtful debts which would be recorded in the statement of financial position on 31 July 2025.

This question was fairly done. Most candidates were able to identify the closing balance in the provision for doubtful debts account as the amount that is recorded in the statement of financial position. Other candidates failed to read the question carefully as they stated the section of the statement of financial position in which the amount would be recorded.

(d) Prepare an extract from Lizwe's income statement for the year ended 31 July 2025 showing the entries for irrecoverable debts and provision for doubtful debts in the correct sections.

Some candidates showed an extract of the statement of financial position instead of an income statement extract. Other candidate failed to show clearly the correct sections in the income statement. Most candidates treated a decrease in provision for doubtful debts as an expense instead of an income.

The correct response was

Lizwe	
Income statement (extract) for the year ended 31 July 2025	
	E
Other income	
Decrease in provision for doubtful debts	20
Expenses	
Irrecoverable debts	3140

(e) Explain how Lizwe applied the prudence principle when writing off irrecoverable debts.

This part question was fairly done by candidates, although some stated that adjustments for irrecoverable debts prevent both an overcast and an undercast of profits and assets instead of preventing only an overcast. Candidates lost marks for that because they were expecting the examiner to choose the correct answer for them. A few candidates were able to explain how the principle was applied as some defined the principle without relating it to the given context. Candidates also lost a mark because of explaining only one aspect, for example stating that profits should not be overstated and mentioning nothing about assets.

Question 4

Generally, this question proved to be challenging for a majority of candidates, with some failing to prepare the statement of changes in equity, and the statement of financial position extract.

(a) State two differences between ordinary shares and debentures.

This part question proved to be a challenge to most of the candidates. What contributed to poor performance on this question was giving incomplete points and also failure to present differences correctly. Most candidates were not comparing similar points. They wrote things such as ordinary shares have voting rights while debentures are a long-term loan. Even though the second point about

debentures is true, it does not attract any mark because it does not compare the first point about voting rights. It is important to compare similar aspects for the difference to be awarded full marks.

Other candidates wrote incomplete points, for example, wrote ordinary shares have a varying rate while debentures have a fixed rate, omitting the words dividend and interest respectively which resulted in the forfeiture of marks. Other candidates used the word 'interest' in both ordinary shares and debentures which was incorrect.

(b)(i) Calculate GG Limited's profit for the year ended 31 August 2025 after the payment of the dividend on the preference shares.

Most candidates failed to calculate the profit after the payment of the preference share dividend. Those candidates who were able to calculate preference share dividend then subtracted from the preference share capital instead of deducting from profit for the year. Most candidates simply calculated 5% of E62 000 and presented the E5 000 as the answer. Other candidates were adding the E5 000 with the E62 000 to get E67 000 instead of subtracting. A majority of candidates left the question unattended.

The expected response was

$$E100\ 000 \times 5\% = E5\ 000$$

$$E62\ 000 - E5\ 000 = E57\ 000$$

(ii) Complete GG Limited's statement of changes in equity for the year ended 31 August 2025.

Most candidates did not perform well in this part question. They failed to transfer the profit calculated from part (b)(i) to this question. Some candidates were bringing back the E62 000 as profit for the year. Other candidates had no clue on how the statement of changes in equity should be prepared, they filled all the spaces provided with figures. A majority of candidates failed to use the correct sign, forgetting to put brackets in the interim dividend to show that it is subtracted. Other candidates could not calculate the closing balances on the statement of changes in equity, they ignored the opening balances when calculating the closing balances.

The correct response was

GG Limited
Statement of Changes in Equity for the year ended 31 August 2025

	Ordinary share capital (E)	General reserves (E)	Retained earnings (E)	Total (E)
Balances on 1 September 2024	250 000	60 000	20 000	330 000
Profit for the year			57 000	57 000
Interim dividend			(12 500)	(12 500)
Transfer to general reserves		12 000	(12 000)	0
Balances on 31 August 2025	250 000	72 000	52 500	374 500

(c) Prepare extracts from GG Limited statement of financial position at 31 August 2025 to show the equity and reserves and non-current liabilities.

This is another part question in which candidates were not able to score maximum marks. Most candidates included the preference share capital in the capital and reserves section instead of recording it under non-current liabilities. Some could not transfer the closing equity and reserves figures from part (b)(ii) in the statement of changes in equity, while others were transferring the opening balances.

In the non-current liabilities section, most candidates were just listing loan and debentures and forgetting the preference share capital. On the debentures, some were calculating the 5% interest to get E2000 and listed it under non-current liabilities. Some showed sub-headings which were not required, such as current assets, current liabilities, or just showed the items without writing any sections.

The correct response was

GG Limited		
Statement of Financial Position (extract) at 31 August 2025		
Equity and Reserves	E	E
Ordinary share capital	250 000	
General reserves	72 000	
Retained earnings	<u>52 500</u>	374 500
Non-current liabilities		
5% Redeemable preference shares	100 000	
5% Debentures	40 000	
Bank loan	<u>20 000</u>	<u>160 000</u>
		<u>534 500</u>

Question 5

Generally, a majority of candidates did not perform well in this question.

(a) Prepare Sinaye's statement of affairs at 31 August 2025 showing the total capital at that date.

On average, this question was well attempted by some candidates. Those who did not obtain maximum marks include those who were not able to write correct headings for each section of the statement of affairs. Some candidates just listed assets and liabilities instead of preparing a statement of affairs, while others prepared an opening journal entry to calculate capital.

Others could not correctly classify the prepaid expenses and accrued expenses. Others forgot that the main aim of preparing the statement of affairs is to calculate the capital and thus forgot to show it. Some candidates had the correct presentation of the statement of affairs, but they included the bank overdraft under current assets.

Quite a number of candidates did not include the heading of non-current liabilities to record the loan from Abo Bank but included the loan in current liabilities or simply added it directly to capital without showing the appropriate heading for it. It is not acceptable to show the long-term loan as equity. Other candidates just wrote long-term liability and the amount of the loan next to it instead of listing the loan under the section. Some candidates wrote wages & salaries and rent and missed the keywords accrued and prepaid. It must be noted that only the adjustments of expenses and incomes are recorded in the statement of affairs, not the expense or income itself, so writing rent instead of rent prepaid is unacceptable.

Some candidates did not show the cost and accumulated depreciation column in non-current assets, they just wrote the net book value, which was unacceptable. Some candidates were writing as if they were preparing the income statement, they would have sub-headings such as incomes and expenses.

The correct response was

Sinaye			
Statement of Affairs at 31 August 2025			
Non-current Assets			
	Cost	Depreciation	Net Book
		to date	Value
	E	E	E
Furniture	21 500	2 400	19 100
Equipment	<u>120 000</u>	<u>24 000</u>	<u>96 000</u>
	<u>141 500</u>	<u>26 400</u>	115 100
Current Assets			
Inventory		14 600	
Trade receivables		22 800	
Other receivables		<u>1 800</u>	<u>39 200</u>
			<u>154 300</u>
Capital and Liabilities			
Capital: Balance			98 200
Non-current Liabilities			
Loan- Abo Bank			30 000
Current Liabilities			
Trade payables		19 200	
Other payables		2 100	
Bank overdraft			<u>4 800</u>
			<u>26 100</u>
			<u>154 300</u>

(b) Prepare Sinaye's capital account showing the profit or loss for the year ended 31 August 2025.

Most candidates still find it difficult to prepare a capital account. Some candidates did not write correct or complete dates, while others reversed the entries. A majority of candidates recorded only the opening balance and additional capital and ignored the closing balance they calculated in part (a), hence their loss for the year was incorrect. Other candidates forgot that a shortage on the debit side of the capital account represents a loss and narrated it as a profit, which was unacceptable.

Some candidates wrote a calculation instead of preparing an account. In most instances, the candidates were able to show drawings for only one item, and the other was narrated as cash or purchases, which was incorrect. Most candidates narrated the capital introduced as additional capital instead of bank, while others narrated the laptop introduced as laptop or computer instead of equipment, which was unacceptable.

The expected response was

Sinaye					
Capital account					
2025	E	2024			E
Aug 31 Drawings (4000+4400)	8 400	Sep 1 Balance	b/d		108 000
31 Loss for the year	15 400	Bank			5 000
31 Balance c/d	<u>98 200</u>	Equipment			<u>9 000</u>
	<u>122 000</u>				<u>122 000</u>
2025					
		Sep 1 Balance	b/d		98 000

(c) (i) Calculate Sinaye's quick ratio correct to two decimal places.

The performance in this question was average. Those who did not score full marks failed to write the quick ratio appropriately, leaving it just as a number instead of a ratio, while some wrote it as a percentage or gave their final answer in times. Some candidates could not calculate current assets excluding closing inventory as well as calculate current liabilities. Others were mistaking the quick ratio for the current ratio. Some candidates from some centres did not write the ratio correctly to two decimal places as specified in the question, while others presented their answer as 1:0.94 instead of 0.94:1.

(ii) Comment on Sinaye's quick ratio calculated on c(i).

This question was fairly done by some candidates who gave very satisfactory comments, stating even the benchmark, especially candidates who got correct answers in part (i). Those who did not obtain full marks were not specific in stating the benchmark but simply stated that the ratio is within the benchmark without specifying the acceptable benchmark range of 0.7:1 and 1:1. Others gave the benchmark for a current ratio. There were some candidates who were just general when commenting not specifying the key words of short-term or liquid assets and immediate or short-term liabilities instead they compared assets and liabilities in general.

The expected responses were

The ratio is satisfactory

It is within the benchmark of 0.7:1 and 1:1

Sinaye can pay short-term debts with liquid assets

(iii) Suggest two ways in which Sinaye could improve the quick ratio.

The performance for this question was not good. Most candidates stated ways of improving gross margin such as increasing sales or buying from cheaper suppliers, which were not the expected response for improving a quick ratio. Some candidates gave incomplete responses such as selling excess assets instead of selling excess non-current assets and obtaining a loan instead of obtaining a long-term loan.

Recommendations

1. Educators must continue to encourage learners to write complete dates for the preparation of any ledger account, subsidiary books, and journal entries.
2. Candidates are advised to read questions with understanding before answering them and not have an assumption of the question. For example, a question requiring the disadvantages of a sole trader should not be assumed as one looking for advantages.
3. Educators are advised to emphasise the importance of the choice of words used by candidates in their responses, as some words used by candidates change the meaning of the accounting facts. For example, to correct errors does not mean the same thing as locating errors, and also to locate fraud does not have the same meaning as reducing the possibility of fraud.
4. Candidates are encouraged to answer the question as per its requirement. If the question requires the candidate to state, they must simply state and not explain as the explanation does not have a mark and also it is time consuming for the candidate. Candidates are encouraged to familiarize themselves with the command words at the back of the accounting syllabus.
5. Educators are encouraged to continue emphasizing to candidates on how money is presented, i.e. money should be presented in full like E95.30 not E95.3.
6. Educators must continue to encourage learners that when they are required to define a term, they are not allowed to use the same word in their definition.
7. Educators must continue to emphasize to learners the importance of comparing similar aspects for a difference in two things to be awarded full marks.
8. Educators should discourage learners from using abbreviations in presenting their answers, such as writing bal b/d for balance b/d.

